Theory case · Topic 3 · 2 points · 15 min

C21 — Nacelle Works: placing seven sources of financing on the map

Nacelle Works S.A. manufactures engine nacelles. Its CFO lists how the company was financed last year: (1) profits of previous years kept in the company; (2) a capital increase subscribed by a venture fund; (3) bonds maturing in 2032; (4) a seven-year bank loan for a new autoclave; (5) a contract to use a robotic drilling cell for five years with an option to buy it at the end; (6) suppliers of aluminium who are paid at 90 days; (7) customer invoices sold to a specialised company that collects them and bears the risk if the customer does not pay.

Part (a) · 1.25 points

Classify each source by nature, by origin and by term

Source	Instrument	Nature [Slide 21]	Origin [Slide 22]	Term
1	Self-financing (retained earnings)	Equity	Company resources (internal equity)	Permanent
2	Equity capital, rights issue	Equity	Company resources (external equity)	Permanent
3	Bonds	Liabilities	External	Long term [Slide 29]
4	Long-term bank loan	Liabilities	External	Long term [Slide 31]
5	Leasing (use with purchase option)	Liabilities	External	Long term [Slide 33]
6	Accounts payable (trade credit)	Liabilities	External	Short term [Slide 35]
7	Factoring	Liabilities	External	Short term [Slide 35]

KEY POINTS

- Equity, company resources: (1) self-financing (internal); (2) equity capital (external equity).
- Liabilities, external, long term: (3) bonds, (4) long-term loan, (5) leasing.
- Liabilities, external, short term: (6) accounts payable (trade credit), (7) factoring.

Part (b) · 0.75 points

Explain the difference between a bond and a long-term loan, and between factoring and a trade discount

A **bond** is a **debt security**: a loan in the form of a security, in which the issuer is the borrower and the bondholder the lender; the issuer must repay the principal and pay the coupon at maturity [Slide 29]. With a **long-term loan**, the company receives an amount that must be paid back at a certain time and pays **debt interest** for it [Slide 31].

With **factoring**, the company **sells** its credit to a factoring company, which collects it and **assumes the risk of insolvency** [Slide 35]. With a **trade discount**, the bank only **advances** the amount of a bill before it falls due, after deducting interest and commission [Slide 35]; if the customer does not pay, the company usually has to return the money (discount with recourse, extension).

KEY POINTS

- Bond: a loan in the form of a security; the issuer owes the holders principal and coupon at maturity.
- Loan: an amount received and paid back at a certain time, with debt interest.
- Factoring: the credit is sold and the factor assumes the insolvency risk.
- Trade discount: the bank advances the amount of a bill before maturity after deducting expenses; the risk stays with the company.